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ABRIDGED AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2018

The Board of Directors of Sameer Africa PLC announces the audited financial results of the group for the year ended 31st December 2018.

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2018

	2018 KShs '000'	2017 KShs '000'
Revenue	2,067,928	2,626,975
Cost of sales	(1,725,872)	(1,846,234)
Gross profit	**342,056**	**780,741**
Other operating income	30,846	95,030
Operating expenses	(785,919)	(780,685)
Operating (Loss)/profit	**(413,017)**	**95,086**
Net finance costs	(69,124)	(79,690)
Share of profit of equity accounted investee (net of income tax)	4,027	11,768
(Loss)/profit before income tax	**(478,114)**	**27,164**
Income tax expense	(51,206)	(14,135)
(Loss)/profit for the year	**(529,320)**	**13,029**
Total other comprehensive income for the year	**(10,802)**	**(10,369)**
Total comprehensive income for the year	**(540,122)**	**2,660**
Earnings per share:		
Basic and diluted (KShs)	**(1.90)**	**0.05**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2018

	2018 KShs '000'	2017 KShs '000'
ASSETS		
Non-current assets		
Property, plant and equipment	356,388	552,139
Intangible assets	1,052	5,818
Investment properties	422,836	175,360
Prepaid operating lease rentals	345	349
Equity accounted investee	137,475	133,448
Deferred income tax	369,556	404,264
Total non-current assets	**1,287,652**	**1,271,378**
Current assets		
Inventories	617,406	730,580
Trade and other receivables	590,750	800,475
Current income tax	44,727	48,330
Cash and cash equivalents	47,289	119,105
Total current assets	**1,300,172**	**1,698,490**
TOTAL ASSETS	**2,587,824**	**2,969,868**
EQUITY		
Share capital	1,391,712	1,391,712
Retained earnings	(86,423)	611,051
Translation reserve	(175,711)	(164,909)
Total equity	**1,129,578**	**1,837,854**
LIABILITIES		
Non-current liabilities		
Borrowings	14,585	31,026
Deferred income tax	5,064	4,134
Total non-current liabilities	**19,649**	**35,160**
Current liabilities		
Trade and other payables	477,946	535,014
Borrowings	960,651	561,840
Total current liabilities	**1,438,597**	**1,096,854**
Total liabilities	**1,458,246**	**1,132,014**
TOTAL EQUITY AND LIABILITIES	**2,587,824**	**2,969,868**

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2018

	Share Capital Kshs '000'	Retained Earnings Kshs '000'	Translation Reserve Kshs '000'	Total Kshs '000'
2018				
At start of year	**1,391,712**	**611,051**	**(164,909)**	**1,837,854**
Adjustment on initial application of IFRS 9		(168,154)		(168,154)
Restated balance as at 1 January	**1,391,712**	**442,897**	**(164,909)**	**1,669,700**
Comprehensive income for the year				
Loss for the year	-	(529,320)	-	(529,320)
Other comprehensive income	-	-	(10,802)	(10,802)
Total comprehensive income	**-**	**(529,320)**	**(10,802)**	**(540,122)**
At end of year	**1,391,712**	**(86,423)**	**(175,711)**	**1,129,578**
2017				
At start of year	**1,391,712**	**598,022**	**(154,540)**	**1,835,194**
Comprehensive income for the year				
Profit for the year	-	13,029	-	13,029
Other comprehensive income	-	-	(10,369)	(10,369)
Total comprehensive income	**-**	**13,029**	**(10,369)**	**2,660**
At end of year	**1,391,712**	**611,051**	**(164,909)**	**1,837,854**

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2018

	2018 KShs '000'	2017 KShs '000'
Cash (used in)/generated from operating activities:	**(109,142)**	**626,178**
Interest paid	(69,413)	(49,058)
Income tax paid	(11,967)	(16,449)
Net cash (used)/generated from operating activities	**(190,522)**	**560,671**
Net cash used in investing activities	**(264,781)**	**(332,317)**
Net cash absorbed by financing activities	**(16,441)**	**27,722**
(Decrease)/increase in cash and cash equivalents	**(471,744)**	**256,077**
Movement in cash and cash equivalents:		
At start of year	(442,735)	(693,233)
(Decrease)/increase in cash and cash equivalents	(471,744)	256,076
Effects of exchange movements on cash held	1,117	(5,578)
At end of year	**(913,362)**	**(442,735)**

NOTICE AND AGENDA OF THE 50TH ANNUAL GENERAL MEETING

Notice is hereby given that the 50th Annual General Meeting of Sameer Africa PLC will be held at the premises of Sameer Industrial Park situated along Road C Industrial Area, Nairobi on Monday, 10th June, 2019 commencing at 9.00 am to conduct the following business:

AGENDA

1. Constitution of the Meeting
The Secretary to read the notice convening the meeting, table the proxies and determine if a quorum is present.

2. Confirmation of Minutes
To confirm the Minutes of the 49th Annual General Meeting held on Friday 22nd June 2018.

3. Financial Statements and Reports
To receive, consider and if deemed fit, adopt the financial statements for the year ended 31st December 2018, together with the reports thereon of the directors and the auditors.

4. Election of Directors
4.1 Re-election on account of rotation:
i) In accordance with Article 1.123 of the Company's Articles of Association, Mr. Sameer N. Merali retires by rotation and being eligible, offers himself for re-election.
ii) In accordance with Article 1.123 of the Company's Articles of Association, Mr. Peter Gitonga retires by rotation and being eligible, offers himself for re-election.

5. Confirmation of Members of the Audit, Risk and Corporate Governance Committee of the Board
To approve the following:
In accordance with section 769(1) of the Companies Act 2015, the following being members of the audit, risk and corporate governance committee of the board, be confirmed to continue to serve on the said committee:

i) Dr. Winnie Iminza Nyamute
ii) Dr. Lydia Muthoni Mbuthia
iii) Ms. Mary Wacuka Ngatia
iv) Mr. Sameer Naushad Merali

6. Directors Remuneration Report
To approve the Directors' remuneration report and the remuneration paid to Directors for the year ended 31st December 2018, and to authorize the Board to fix the Directors remuneration.

7. Appointment of Auditors
To re-appoint KPMG Kenya to continue in office as the Company's auditors who being eligible, have expressed their willingness to continue to serve as auditors of the Company in accordance with the provisions of section 721 of the Companies Act 2015 and to authorize the Directors to fix their remuneration for the ensuing financial year.

8. Any Other Business
To transact any other business that may be transacted at an Annual General Meeting.

By Order of the Board

Edgar Imbamba
Company Secretary
29th April 2019, Nairobi

Please Note:
1. A member entitled to attend and vote at this meeting may appoint a proxy to attend and vote on his/her behalf and such proxy need not be a member of the Company.

2. To be valid, a form of proxy must be duly completed and signed by a member and must either be lodged at the offices of the company's share registrars, Custody and Registrars Services Limited, 6th Floor, Bruce House, Standard Street, Nairobi, to reach their offices not less than 48 hours before the meeting or be posted to the Company Secretary through P.O. Box 30429-00100, Nairobi to reach him not less than 48 hours before the time appointed for holding the meeting.

3. A copy of this notice, the proxy form, the Annual Report and Financial Statements may be viewed from the company's website at www.sameerafrica.com by 6th May 2019.

REPORT OF THE INDEPENDENT AUDITORS ON THE SUMMARY FINANCIAL STATEMENTS AND THE SUMMARY DIRECTORS' REMUNERATION REPORT TO THE MEMBERS OF SAMEER AFRICA PLC

Opinion
The summary financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2018, the summary consolidated statement of profit or loss and other comprehensive income, summary consolidated statement of changes in equity and summary consolidated statement of cash flows for the year then ended are derived from the audited financial statements of Sameer Africa PLC for the year ended 31 December 2018.
The summary directors' remuneration report is derived from the auditable part of the directors' remuneration report for the year ended 31 December 2018.

In our opinion, the accompanying summary financial statements and the summary directors ' remuneration report are consistent , in all material respects, with the audited consolidated financial statements and the auditable part of the directors ' remuneration report, in accordance with the International Financial Reporting Standards and Kenyan Companies Act, 2015.

Summary financial statements and summary directors' remuneration report
The summary financial statements do not contain all the disclosures required by the International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. In addition, the summary directors' remuneration report does not contain all the disclosures required by the Kenyan Companies Act, 2015. Reading the summary financial statements, the summary directors' remuneration report and the auditors' report therefore, is not a substitute for reading the audited consolidated financial statements , the directors' remuneration report and the auditors' report thereon.

The audited consolidated financial statements, directors' remuneration report and our report thereon
We expressed an unmodified (unqualified) audit opinion on the audited consolidated financial statements in our report dated 29 April 2019 and also reported that the auditable part of the directors' remuneration report was prepared in accordance with the Kenyan Companies Act, 2015. That report also includes the communication of other key audit matters. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary financial statements and the summary directors' remuneration report
The directors are responsible for the preparation of the summary financial statements and the summary directors' remuneration report in accordance with the Kenyan Companies Act, 2015.

Auditors' responsibility
Our responsibility is to express an opinion on whether the summary financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements and in the manner required by the Kenyan Companies Act, 2015. We are also required to report whether the summary directors' remuneration report is consistent with the auditable part of the directors' remuneration report in accordance with the Kenyan Companies Act, 2015.
The Signing Partner responsible for the audit resulting in this independent auditors' report is FCPA Jacob Gathecha - Practicing Number P/.1610

KPMG Kenya
Certified Public Accountants
8th Floor, ABC Towers, Waiyaki Way
P.O. Box 40612 – 00100 Nairobi GPO. 29 April 2019

Summary of Key Audit matters
The Key Audit Matters identified by the Auditors are:
(i) Impairment of inventories.
(ii) Transition and adoption of IFRS 9.
(iii) Recognition of deferred tax asset.

SUMMARY DIRECTORS' REMUNERATION REPORT
During the year, Sameer Africa PLC paid KShs 21.5 million (2017 – KShs 25.9 million) as directors emoluments.

GROUP RESULTS
The Group's performance was adversely impacted by closure of some of its offshore manufacturing facilities resulting in prolonged stock shortages which depressed revenues significantly. Pricing volatility also lead to increased cost of sales and reduced gross profit margins.

The Groups profitability was also impacted by the decision to derecognize previous deferred tax assets due to uncertainty on the availability of future taxable profits against which those deferred tax assets can be utilized before expiry of their allowable lifetime.

OUTLOOK 2019
The Group has instituted measures to address and diversify its offshore manufacturing capabilities to ensure constant product availability.

In 2019, the Group will in particular focus on strengthening its Kenya core market and tyre retail business to drive revenue growth.

DIVIDEND
The Board of Directors do not recommend the payment of a dividend for the year ended 31 December 2018.

The financial statements were approved on 29 April 2019 and were signed on its behalf by:

ENG. E.K. MWONGERA - FIEK, RCE, CBS
Chairman

MR. S.N. GACHOMO
Managing Director

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